

RECOMMENDATION: BUY

Figure 1: Key Company Data

Overview of NYSE: OTIS	
Last Close	USD 89.16 as of 20 Sep 2025
Target Price	USD \$111.58
Potential Upside	+25.15%
52 Week (High/Low)	USD 84.93 – USD 106.33
Shares O/S (mm)	396.5
Float (%)	99.7%
Dividend Yield (%)	1.88%
Market Cap (US\$m)	34,990
Beta 3Y	0.83
Avg 3M Daily Vol (US\$m)	1.9
Forward P/E for 2025FY	23.31
Enterprise Value (US\$m)	41,432
VWAP	91.17
SIC Code: 3530	
NAICS: 33921: Elevator & Moving Stairway Manufacture	
NACE: 28.22: Manufacture of lifting, handling equipment	

Figure 2: 5Y Share Performance vs S&P 500 Industrials

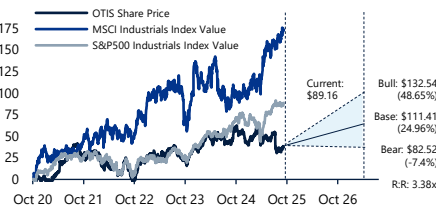


Figure 3: Analyst Rating Over the Past Years

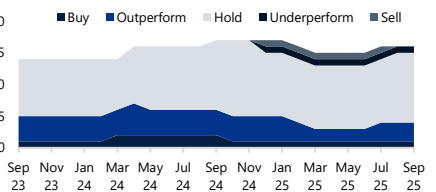


Figure 4: Market Share of Key Industry Players

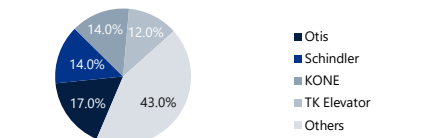


Figure 5: OTIS Revenue Breakdown by Geography

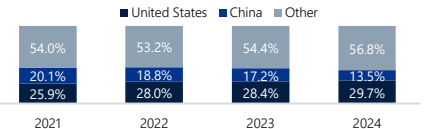


Figure 6: China Real Estate Sector vs. Otis China



Figure 7: Modernisation Support Port. Growth Levers

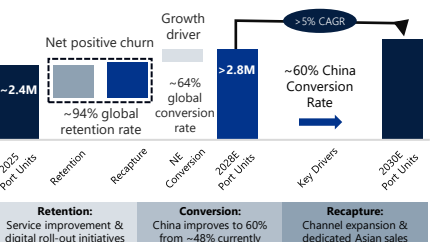
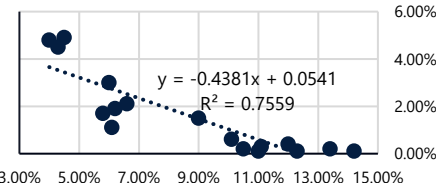


Figure 8: OTIS' historical ROE in diff. rate environments indicates high sensitivity to upside



We initiate coverage of Otis Worldwide Corporation (NYSE: OTIS), "Otis", "the company", recommending a BUY with a target price of USD 111.58 representing a 25.15% upside to its last closing price of USD 89.16, at a risk-reward of 3.38x (Figure 1, 2). We believe scepticism in Chinese real estate has led the market to fundamentally undervalue Otis' stock (Figure 3) & we are contrarian to the market in our three thesis areas: (i) New Equipment sales volume forecasts in China are overwhelmingly pessimistic, (ii) the service & modernisation segment serving as an underappreciated yet structural growth driver, & (iii) street underestimation of Otis' strong CF generation & buyback tendency generating superior shareholder value

About OTIS and the E&E Industry

Business Overview

Established in 1853 & headquartered in the US, Otis is the world's largest global elevator & escalator (E&E) company. Otis manufactures, installs, & serves E&E globally, for residential, commercial buildings, & infrastructure projects. Clients include real-estate & building developers, as well as general contractors.

Adopting a Strategic Razor-and-Blade Approach. Otis has two main offerings: **New Equipment (NE)**, & **Service** – with Service consisting of Maintenance & Repair (M&R), & Modernization (Figure 7). Otis adopts a bait-and-switch approach with the low-margin NE segment locking in customers for high-margin & more defensive service contracts – with service accounting for 84.6% of EBIT in FY2023. Otis can thus promise consistent shareholder returns & lower price volatility even amidst macroeconomic volatilities.

Margin-Boosting & Resilient Service Business Segment. Service contracts on average are for 3 to 4 years of length; though with typically shorter contract lengths in Asia. Otis' maintenance portfolio consists of ~2.3M units, representing ~10% global market share. Its service portfolio unit growth has improved from ~1% y-o-y in FY19 to ~4% y-o-y in FY23.

Industry Overview

The industry is highly consolidated, with the top five OEMs controlling around 70% of New Equipment (NE) sales & 40% of the Service & Maintenance market. The new equipment segment tends to be highly cyclical & tied closely to construction trends while the service segment tends to be more defensive with a recurring revenue model due to high switching costs. Globally present key players for this industry include Otis, Kone, Schindler, TK Elevator, Fujitec, Hitachi, & others.

Flatish United States Construction Trends May Generally Slow New Equipment Sales. The US economy is expected to observe a slight slowdown in 2025, but will continue to stay resilient amidst geopolitical uncertainties, with an anticipated growth of 2.2% between 2025 & 2027. The LSD growth in construction sector of United States can be attributed to rising prices in construction-related commodities such as a +2% increase in US aluminium prices, +0.4% increase in drywall prices, brick prices +0.6%, lumber prices +0.4% quarter-on-quarter in Q4 2024. **China's Macroeconomic Conditions Impact Elevator & Escalator Industry Too.** China is the world's largest elevator market, accounting for 60% to 70% of global New Equipment demand. Some bullishness can be derived from their 14th 5-Year Plan which seeks to modernize their economy through more sophisticated infrastructure & digital innovation which may drive demand for construction of industrial buildings & data centres, that require lifts & transportation means that Otis & their industry peers can provide. Foreign brands such as Kone, Otis dominate high-end markets within China

Investment Summary

Opportunity Setup

Buying at a significant discount: Current P/E ratio trading at 21.26x at huge discount to historical average (24.8x) and EV/EBITDA trading 15% lower than peers despite historical 15-20% premium due to strong moats

Topline growth severely underestimated: Otis faces intense comp in the Chinese high-end elevator market, with uncertain dynamics providing opportunity to buy best-in-class of a winner-takes-most industry; Street focus on Chinese NE weakness neglects (1) new-adds in EU/NA & China higher conversion accelerating service unit growth (2) higher integration → ecosystem flywheel → premium pricing/lower churn.

High-margin mix shift not priced in: Even if ASP remains same (conservative), street's EBIT projections has not priced in higher volume of sales conducted in service segment supporting ARPU uplift & margin expansion.

Thesis 1: China NE recovery at inflection, T1 service conversion drives topline

Street View: Most sell-side notes remain wary about China's depressed New Equipment (NE) market; many models assume further volume contraction & 10%+ y/y price erosion, in part because of intense competition on future bids. NE volumes are down >20% & order backlogs are contracting amid pricing & liquidity challenges (China NE ~13% of global sales). **Our View:** Street is underestimating how soon the China NE market bottoms & how quickly policy measures (purchase restrictions easing, real estate stabilization fund) can spark a modest rebound in volumes/ordering through higher service conversion rate in tier 1/2 cities.

Negative Surprises Already Priced In. China NE prices have fallen ~10% y/y, with consensus baking in further 10-15% erosion in 2025. Since Otis is consciously balancing volume with margin, the likelihood of marginally better price realization is "not zero". Management also indicates that Otis won't chase unprofitable volume, & raw-material tailwinds (lower steel/copper) help keep margins afloat if NE volume finds a floor. Street is pricing in "worst-case", and if the NE market declines less than that, Otis could see better price discipline than these dire expectations. NE orders in this segment are rising quickly in Tier-1 markets benefiting from eased policies. Backlog already sees uptick with China RE stabilization in motion (figure 6). Regression of OTIS's Historical ROE (figure 8) indicates higher sensitivity to upside given a slight rebound in economic sentiment. This buffers against NE weakness & boosts margin given stabilization; demonstrates fear of China market nosediving overblown given no significant variability in profitability.

Shift in Structural Underinvestment in Tier-1/2 vs. Tier-3/4. Regional Shifts & Tier-1 City Relaxations are developments in the China market which we believe the street has been overlooking. Easing policies which are underway, e.g., special local govt bonds for idle/unsold homes, targeted rate cuts, removal of property-purchase restrictions in tier-1 cities – benefit higher-tier cities where Otis has been making a concerted push to expand its direct salesforce & distributor channels, driving 4.1% service portfolio growth in 2024. One overlooked advantage is Otis's strong capture of the residential market (~55% of Otis's 435K China maintenance units are in residential (multi-family) buildings). Conversion accelerates as Tier 1-2 building owners focus on reliability & safety. Of its 2.4mn global service units (around 18% in China), Otis captured ~50% of its newly installed units into maintenance contracts versus 90%+ in OTIS's developed markets. Even modest improvement in that conversion rate to 60-65% would yield S&M revenue gains unrecognized by the consensus. Even if execution is patchy, incremental lift to NE activity is reasonable by late 2025/early 2026.

Figure 9: Leading Industry Firms Analysis

	Equivalent Offering	Connected units ('000s)	Proactive service rate ¹	API Connect-ion	Emergency Video
OTIS	Otis ONE™	300	52%	✓	✓
Schindler	Schindler Ahead™	81	44%	Minimal	✗
KONE	24/7 Services	120	41%	✓	✗
TKE	MAX™	120	23%	✗	✓

■ Most Competitive Offering

Figure 10: Elevator Peers Distributions, Buybacks

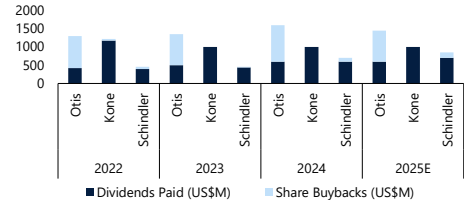


Figure 11: Elevator OEM 2024 Revenue Mix

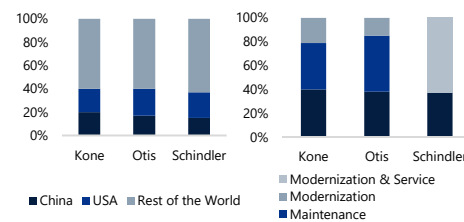


Figure 12: Change in Operating Margins (bps) vs Peers

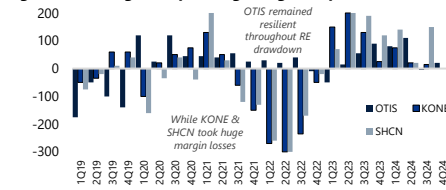


Figure 13: A Clear Differentiation from Consensus

	Cons.	Bull	Base	Bear
Revenue CAGR (%)	2.6%	14.0%	11.0%	7.0%
EBITDA Margin (%)	17.5%	19.6%	17.1%	14.6%
Gross Profit Margin (%)	30.3%	31.1%	30.6%	30.1%
Net Profit Margin (%)	11.6%	13.6%	12.3%	10.9%

Figure 14: Thesis Bridge

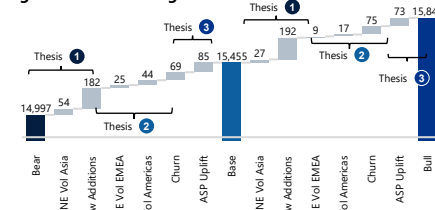


Figure 15: Bottom-Up Approach Supports Optimism



Figure 16: Valuation Overview

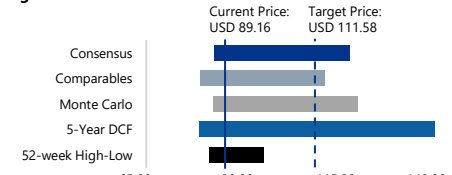
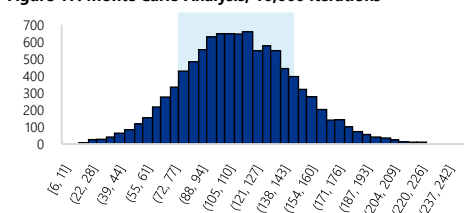


Figure 17: Monte Carlo Analysis, 10,000 iterations



Thesis 2: Service segment is a scalable cash cow, digital ecosystem reduces churn

Street View: Street sees service as "mature cash cow" in a fragmented space growing at 4-5% CAGR reaching service margin ceiling & limited further expansion. Consensus models ~5% Service growth FY25, a slowdown from historical ~6-7%. **Our View:** Otis's Service & Maintenance business is poised to expand at 6-8% CAGR, driven by new-adds, lower churn from enhanced digital integration, higher ARPU, & premium pricing.

Otis Is Best-Positioned to Capitalize on Aging Infrastructure in EU & NA. (a) We see around 50% of EU/NA elevators exceeding 20 years in service, providing a deep, structural long-term modernisation pipeline. Otis is in pole position to secure sizable refurbishment contracts through scale and brand trust. This supports new-adds of 60-80 bps and 2% new equipment order volume and portfolio units on top of street consensus. (b) Otis's superior route density relative to peers (higher units serviced per technician) & strong local presence, particularly through Zardoya Otis in Southern EU, enable it to capture a disproportionate share (with faster turnaround time). With 8 of the 22 million global installed units aging and ready to be upgraded, this is a significant opportunity for Otis's modernization business, driving the higher margins service segment.

Otis ONE further Reduces Churn through Ecosystem Effect & Digital Differentiation. While other OEMs offer digital suites, Otis ONE stands out in its integration of predictive analytics, remote diagnostics, & passenger-facing tools (e.g., eCall, Compass360), which collectively reduce downtime & raise tenant satisfaction. This underpins a 94% global retention rate (9% higher than peers like KONE) and justifies higher service contract pricing (Otis ONE connects 35% of the installed base, with management targeting >60%). Consensus models 10% churn based on 5-year average which does not factor in this growing ecosystem. OTIS trades at 17-19x vs Kone/Schindler at 19-20x, despite superior EBIT margins (~25% in Service) and retention. A Service-led mix shift expands EBIT margin from 16.8% FY25E → 18%+ by FY27, supporting a premium multiple (~20x vs current ~19x) and 10-15% upside from re-rating.

Thesis 3: Retreat of growth investors creates entry point for defensive positioning

Street View: Street sees stalled growth story with Q2'25 NE organic sales -11% yoy, pushing margin/FCF inflection out to 2026. Street misinterprets implications of large cash position (US \$688mm) as a result of failed all-cash acquisitions of three urban elevator U.S. locations out of eleven. **Our View:** We see room for more aggressive buybacks, dividend hikes, and capital returns with a derisked balanced sheet. Consistently strong improvements in margins will promise even higher ROIC, with excess cash flowing directly back to shareholders. OTIS is a discounted cash-flow compounder, creating entry points for the defensive investor.

Long-term commitment to returning capital: Otis has demonstrated a strong commitment to prioritizing cash flow and capital return to shareholders as seen from its stock repurchases, with ~\$1B in 2023 and ~\$1.2B in 2024. If FCF grows at 7-10% annually, buybacks can accelerate, and dividend growth could surprise to the upside. Recent dividend CAGR is ~20%, and payout ratio is still conservative at a ballpark of ~30% to 40% of FCF. With stable service cash flows, Otis can comfortably increase dividends faster than Street expects. Despite Q2 guidance reset to adj. FCF ~USD 1.4-1.5bn, management has maintained USD 800m share repurchase targets. With 558m already repurchased YTD, cash ended Q2 at USD 688m and the \$1.3bn maturity behind us, we see a clear path to the USD 800m target by EOY with room for surprise to the upside 1H 2026.

Optimism from Margin Expansion Initiatives: We forecast that Otis's margin expansion will grow in the NE segment and service segment, mainly driven via the UpLift program which the company expects to generate USD 200m of run rate savings by 2H25. Otis's margins have historically been above peers more resilient, where Otis has expanded margins by more than 30bps/year since the spin. This is supported by an estimated flat input cost in 2025, which typically makes up a high share of costs for E&E firms. In addition, Otis operates with an asset-light business model which requires minimal capital expenditures, typically just over 1% of sales.

Risks and Catalysts

Risks

Service Growth Deceleration: North America repair revenue growth slowed to LSD vs. MSD in prior quarters. Service EBIT margins (~24-25%) deceleration could compress consolidated margins. **Mitigated by Margin expansion strategy driven by ASP uplift (1-2% annually) EBITDA expansion.**

Market Supply Chain Risk: ~80% of Otis' commodity spend is attributable to steel, aluminum, and copper. Section 232, 301, and Fentanyl tariffs (50% steel and aluminum, 50% on semis for control systems, 20% on all Chinese imports) potentially raising \$45-75 million cost annually and cut margins. Disruptions also delay order fulfillment which could shave off 100-150 bps from revenue growth. **Mitigated by locking in fixed-price contracts and indexing majority of service contracts to inflation, as well as localized production insulating tariff exposure (incl. 90% of revenues from U.S.-China tension) and purchased hedges in inventory.**

Catalysts

Modernization backlog: Backlog + ~8-10% YoY as projects take off in EU (2026-2029) & conversion in T1/2 cities in China accelerates from 2H 2025; adds ~100-150 bps to organic growth (ARPU) and portfolio units).

Pricing uplift: ~2-3% increase as Otis reaches >60% conversion rate in China & Otis ONE reaches flywheel effect with 60% connection between installed bases in 2027; supports ~100 bps EBIT margin expansion (lower churn and new adds). Further leading to multiple re-rate from 19x → >20x as EBIT margin expands

Valuation

Operating Build, Variances & Key Model Drivers

DCF Base case target price \$111.46 (6.63% WACC; 12.52x EV/EBITDA). Monte Carlo \$113.49 and Comparables Analysis \$109.35. Weighting each 33.33%, **base blended target price** \$111.41. **Bull case blended price** \$132.54 (+48.65%) and **bear** \$82.52 (-7.44%). **Blended Target Price** (35% bull, 40% base, 25% bear) \$111.58 (+25.15%)

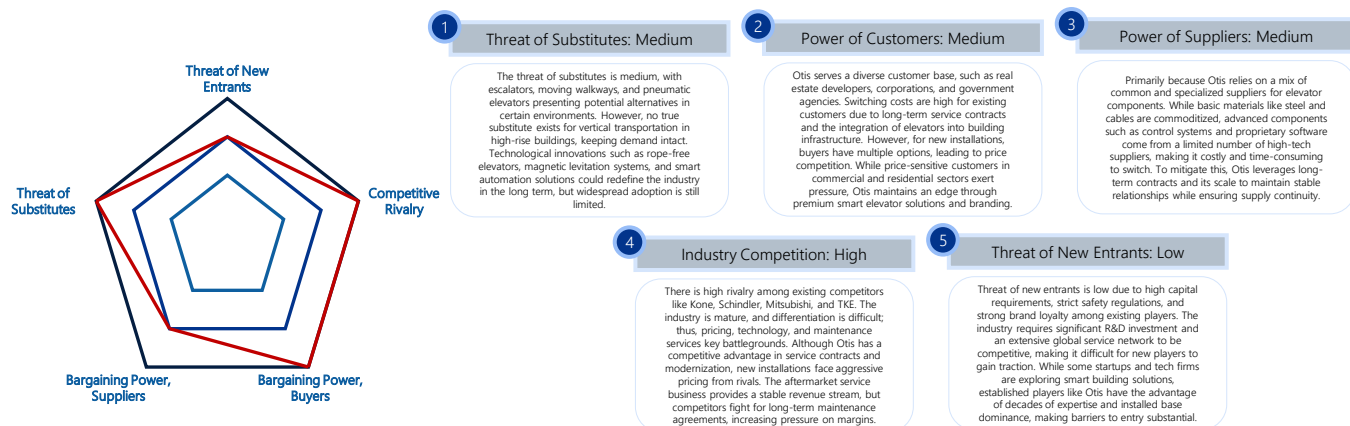
High Level: We're broadly aligned on macro headwinds but differ on the timing/magnitude of China NE stabilisation & Service engine's resilience.

Operating Build	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
New Equipment									
United States Operations	1,663	1,643	1,648	1,595	1,633	1,671	1,711	1,751	1,792
China	1,293	1,103	1,000	722	732	742	752	762	772
Other	3,471	3,119	3,164	3,049	3,089	3,129	3,170	3,211	3,253
Total Segment Revenue	6,428	5,864	5,812	5,367	5,454	5,543	5,633	5,724	5,818
Consensus Δ					1.8%	1.8%	2.4%	3.5%	4.2%
Service & Maintenance									
United States Operations	2,037	2,191	2,382	2,644	2,944	3,321	3,798	4,408	5,198
China	1,584	1,470	1,444	1,197	1,099	1,005	916	831	750
Other	4,250	4,159	4,571	5,054	5,453	5,944	6,552	7,309	8,262
Total Segment Revenue	7,870	7,821	8,397	8,894	9,496	10,270	11,265	12,548	14,210
Consensus Δ					2.0%	2.6%	3.8%	4.4%	5.0%
Servicing portfolio count	2.04	2.13	2.21	2.30	2.45	2.64	2.89	3.21	3.62
growth%					6.5%	7.9%	9.4%	11.0%	12.8%
Consensus Δ					0.8%	1.2%	1.0%	0.9%	1.1%
Churn %		5.9%	6.3%	6.5%	5.6%	5.7%	5.8%	6.0%	6.1%
growth%					6.8%	3.2%	(13.7%)	-2.0%	2.0%
Consensus Δ					5.0%	6.0%	6.2%	6.3%	6.3%
New adds %		10.2%	10.5%	11.5%	12.3%	13.7%	15.2%	16.9%	18.7%
growth%					2.9%	10.0%	7.1%	10.9%	10.8%
Consensus Δ					11.7%	13.1%	5.4%	16.1%	17.9%
ASP	3,678	3,797	3,867	3,876	3,876	3,887	3,898	3,911	3,925
growth%					3.2%	1.8%	0.3%	0.3%	0.4%

- New Equipment:** Price erosion moderates to MSD by mid-2025 with tighter bid discipline; modest backlog conversion 2H25-26; **vs street** earlier stabilisation and cleaner mix.
- Service & Maintenance:** Better attach in China resi + modernisation; ARPU flat in 2025 then slight uplift; **vs street** lower attrition and marginally higher ARPU from 2026.
- Portfolio (units):** Faster net growth via Tier-1 resi capture, retrofit intake, first-service conversion; **vs street** higher portfolio by ~1-2% p.a. 2025-2029.
- Churn %:** Normalises lower; **vs street** ~20-30 bps through 2026, widening slightly thereafter on mix.
- New adds %:** Earlier order-book stabilisation and retrofit funnel; **vs street** +60-80 bps net adds without price giveaways.
- ASP (NE):** Same as street (flat from 2026; near-term pressure fades)

Appendix C: Competitive Overview

Porter's Five Forces



Comparable Companies



Appendix D: 3FS

Income Statement	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
United States Operations	3,700.0	3,834.0	4,030.0	4,239.0	4,514.6	4,849.9	5,261.7	5,773.6	6,417.6
International Operations	10,598.0	9,851.0	10,179.0	10,022.0	10,257.1	10,568.8	10,974.4	11,496.7	12,166.4
China	2,877.0	2,573.0	2,444.0	1,919.0	1,824.8	1,735.9	1,652.2	1,573.7	1,500.5
Other	7,721.0	7,278.0	7,735.0	8,103.0	8,432.3	8,832.9	9,322.2	9,923.0	10,665.9
Revenue	14,298.0	13,685.0	14,209.0	14,261.0	14,771.7	15,418.7	16,236.1	17,270.2	18,584.0
Other Revenue	-	-	-	-	-	-	-	-	-
Total Revenue	14,298.0	13,685.0	14,209.0	14,261.0	14,771.7	15,418.7	16,236.1	17,270.2	18,584.0
Cost Of Goods Sold	10,083.0	9,743.0	10,010.0	9,976.0	10,409.3	10,784.6	11,272.2	11,901.5	12,712.2
Gross Profit	4,215.0	3,942.0	4,199.0	4,285.0	4,362.5	4,634.1	4,963.8	5,368.7	5,871.8
Selling General & Admin Exp.	1,909.0	1,727.0	1,828.0	1,818.0	1,875.8	1,953.7	2,052.8	2,178.7	2,339.3
R & D Exp.	159.0	150.0	144.0	152.0	158.3	165.3	174.0	185.1	199.2
Other Operating Expense/(Income)	(24.0)	(31.0)	(17.0)	(35.0)	(28.0)	(29.3)	(30.8)	(32.8)	(35.3)
Other Operating Exp., Total	2,044.0	1,846.0	1,955.0	1,935.0	2,006.0	2,089.7	2,196.0	2,331.0	2,503.2
EBITDA	2,171.0	2,096.0	2,244.0	2,350.0	2,356.4	2,544.4	2,767.9	3,037.7	3,368.6
Depreciation & Amortisation	0	0	0	0	108.6	109.7	111.2	113.1	115.6
EBIT	2,171.0	2,096.0	2,244.0	2,350.0	2,247.8	2,434.7	2,656.7	2,924.6	3,253.1
Interest Expense	(136.0)	(143.0)	(150.0)	-	(228.1)	(201.4)	(198.9)	(162.0)	(122.6)
Interest and Invest. Income	-	-	-	31.0	-	-	-	-	-
Net Interest Exp.	(136.0)	(143.0)	(150.0)	31.0	(228.1)	(201.4)	(198.9)	(162.0)	(122.6)
Currency Exchange Gains (Loss)	9.0	16.0	20.0	7.0	10.0	10.0	10.0	10.0	10.0
EBT Excl. Unusual Items	2,044.0	1,969.0	2,114.0	2,388.0	2,029.7	2,243.3	2,467.8	2,772.6	3,140.4
Restructuring Charges	(56.0)	(60.0)	(83.0)	(136.0)	-	-	-	-	-
Asset Writedown	-	-	-	(18.0)	-	-	-	-	-
Legal Settlements	-	-	-	(212.0)	-	-	-	-	-
Other Unusual Items	(27.0)	(21.0)	-	17.0	-	-	-	-	-
EBT Incl. Unusual Items	1,961.0	1,888.0	2,031.0	2,039.0	2,029.7	2,243.3	2,467.8	2,772.6	3,140.4
Income Tax Expense	541.0	519.0	533.0	305.0	315.7	348.9	383.8	431.2	488.4
Net Income to Company	1,420.0	1,369.0	1,498.0	1,734.0	1,714.0	1,894.4	2,084.0	2,341.4	2,652.0
Minority Int. in Earnings	(174.0)	(116.0)	(92.0)	(89.0)	(123.2)	(128.6)	(135.4)	(144.0)	(155.0)
Net Income	1,246.0	1,253.0	1,406.0	1,645.0	1,590.8	1,765.8	1,948.6	2,197.3	2,497.0

Balance Sheet										
Balance Check	Balanced	Balanced	Balanced	Balanced	Balanced	Balanced	Balanced	Balanced	Balanced	Balanced
ASSETS										
Cash And Equivalents	1565	1189	1274	2300	3,228.5	4,848.8	6,085.8	8,281.0	11,622.2	
Total Cash & ST Investments	1,565.0	1,189.0	1,274.0	2,300.0	3,228.5	4,848.8	6,085.8	8,281.0	11,622.2	
Accounts Receivable	3694	3930	4159	4050	4,144.3	4,325.8	4,555.1	4,845.3	5,213.9	
Other Receivables	88	91	96	224	121.4	126.7	133.4	141.9	152.7	
Total Receivables	3,782.0	4,021.0	4,255.0	4,274.0	4,265.7	4,452.5	4,688.6	4,987.2	5,366.6	
Inventory	622	617	612	557	629.7	652.4	681.9	720.0	769.0	
Restricted Cash	1910	-	-	-	-	-	-	-	-	
Other Current Assets	382	316	259	539	539.0	539.0	539.0	539.0	539.0	
Total Current Assets	8,261.0	6,143.0	6,400.0	7,670.0	8,662.9	10,492.8	11,995.3	14,527.3	18,296.9	
Gross Property, Plant & Equipment	2456	2319	2375	2315	2,454.8	2,600.8	2,754.4	2,917.9	3,093.8	
Accumulated Depreciation	-1156	-1151	-1232	-1192	(1,300.6)	(1,410.3)	(1,521.5)	(1,634.6)	(1,750.1)	
Net Property, Plant & Equipment	1,300.0	1,168.0	1,143.0	1,123.0	1,154.2	1,190.4	1,233.0	1,283.4	1,343.7	
Goodwill	1667	1567	1588	1548	1,548.0	1,548.0	1,548.0	1,548.0	1,548.0	
Other Intangibles	419	369	335	311	311.0	311.0	311.0	311.0	311.0	
Deferred Tax Assets, LT	335	285	323	302	302.0	302.0	302.0	302.0	302.0	
Other Long-Term Assets	297	287	328	362	362.0	362.0	362.0	362.0	362.0	
Total Assets	12279	9819	10117	11316	12,340.1	14,206.2	15,751.3	18,333.6	22,163.5	
LIABILITIES										
Accounts Payable	1,556.0	1,717.0	1,878.0	1,879.0	1,838.6	1,904.9	1,991.0	2,102.1	2,245.3	
Accrued Exp.	1,656.0	1,535.0	1,569.0	1,482.0	1,482.0	1,482.0	1,482.0	1,482.0	1,482.0	
Short-term Borrowings	24.0	139.0	32.0	51.0	51.0	51.0	51.0	51.0	51.0	
Curr. Port. of LT Debt	-	531.0	-	1,300.0	761.0	1,385.0	750.0	-	1,500.0	
Curr. Port. of Leases	181.0	127.0	117.0	120.0	120.0	120.0	120.0	120.0	120.0	
Curr. Income Taxes Payable	142.0	103.0	141.0	75.0	75.0	75.0	75.0	75.0	75.0	
Unearned Revenue, Current	2,674.0	2,662.0	2,696.0	2,598.0	2,782.5	2,904.3	3,058.3	3,253.1	3,500.5	
Other Current Liabilities	14.0	29.0	46.0	244.0	244.0	244.0	244.0	244.0	244.0	
Total Current Liabilities	6,247.0	6,843.0	6,479.0	7,749.0	7,354.0	8,166.2	7,771.3	7,327.2	9,217.9	
Long-Term Debt	7,249.0	6,098.0	6,866.0	6,973.0	6,212.0	4,827.0	4,077.0	4,077.0	2,577.0	
Long-Term Leases	336.0	315.0	292.0	298.0	298.0	298.0	298.0	298.0	298.0	
Unearned Revenue, Non-Current	52.0	52.0	-	-	-	-	-	-	-	
Pension & Other Post-Retire. Benefits	663.0	483.0	557.0	526.0	526.0	526.0	526.0	526.0	526.0	
Def. Tax Liability, Non-Curr.	267.0	279.0	245.0	207.0	207.0	207.0	207.0	207.0	207.0	
Other Non-Current Liabilities	449.0	413.0	398.0	291.0	291.0	291.0	291.0	291.0	291.0	
Total Liabilities	15,263.0	14,483.0	14,837.0	16,044.0	14,888.0	14,315.2	13,170.3	12,726.2	13,116.9	
Common Stock	119.0	162.0	213.0	265.0	265.0	265.0	265.0	265.0	265.0	
Additional Paid In Capital	-	-	-	-	-	-	-	-	-	
Retained Earnings	(2,256.0)	(2,865.0)	(2,005.0)	(978.0)	1,202.1	3,641.0	6,331.0	9,357.4	12,796.7	
Treasury Stock	(725.0)	(1,575.0)	(2,382.0)	(3,390.0)	(3,390.0)	(3,390.0)	(3,390.0)	(3,390.0)	(3,390.0)	
Comprehensive Inc. and Other	(763.0)	(592.0)	(750.0)	(745.0)	(745.0)	(745.0)	(745.0)	(745.0)	(745.0)	
Total Common Equity	(3,625.0)	(4,870.0)	(4,924.0)	(4,848.0)	(2,667.9)	(229.0)	2,461.0	5,487.4	8,926.7	
Minority Interest	641.0	206.0	204.0	120.0	120.0	120.0	120.0	120.0	120.0	
Total Equity	(2,984.0)	(4,664.0)	(4,720.0)	(4,728.0)	(2,547.9)	(109.0)	2,581.0	5,607.4	9,046.7	
Total Liabilities And Equity	12,279.0	9,819.0	10,117.0	11,316.0	12,340.1	14,206.2	15,751.3	18,333.6	22,163.5	
Cash Flow Statement										
Net Income	1,246.0	1,253.0	1,406.0	1,645.0	1,590.8	1,765.8	1,948.6	2,197.3	2,497.0	
Depreciation & Amort.	116.0	118.0	126.0	119.0	108.6	109.7	111.2	113.1	115.6	
Amort. of Goodwill and Intangibles	87.0	73.0	67.0	62.0	-	-	-	-	-	
Depreciation & Amort., Total	203.0	191.0	193.0	181.0	108.6	109.7	111.2	113.1	115.6	
Asset Writedown & Restructuring Costs	-	-	-	-	-	-	-	-	-	
Stock-Based Compensation	65.0	67.0	64.0	73.0	-	-	-	-	-	
Other Operating Activities	76.0	145.0	(5.0)	(42.0)	-	-	-	-	-	
Change in Acc. Receivable	(99.0)	(271.0)	(269.0)	(108.0)	(94.3)	(181.5)	(229.3)	(290.1)	(368.6)	
Change in Other Receivable	-	-	-	-	102.6	(5.3)	(6.7)	(8.5)	(10.8)	
Change In Inventories	14.0	(65.0)	15.0	26.0	(72.7)	(22.7)	(29.5)	(38.1)	(49.0)	
Change in other current assets	-	66.0	57.0	(280.0)	-	-	-	-	-	
Change in Acc. Payable	130.0	272.0	152.0	57.0	(40.4)	66.3	86.1	111.1	143.2	
Change in Other Net Operating Assets	115.0	(32.0)	71.0	(269.0)	184.5	121.9	154.0	194.8	247.5	
Cash from Ops.	1,750.0	1,560.0	1,627.0	1,563.0	1,779.0	1,854.1	2,034.3	2,279.6	2,574.8	
Capital Expenditure	(156.0)	(115.0)	(138.0)	(126.0)	(139.8)	(145.9)	(153.7)	(163.5)	(175.9)	
Cash Acquisitions	(80.0)	(46.0)	(36.0)	(87.0)	-	-	-	-	-	
Divestitures	-	61.0	-	-	-	-	-	-	-	
Invest. in Marketable & Equity Secur.	40.0	(7.0)	4.0	(9.0)	-	-	-	-	-	
Net (Inc.) Dec. in Loans Originated/Sold	-	-	-	-	-	-	-	-	-	
Other Investing Activities	107.0	74.0	(13.0)	58.0	-	-	-	-	-	
Cash from Investing	(89.0)	(33.0)	(183.0)	(164.0)	(139.8)	(145.9)	(153.7)	(163.5)	(175.9)	
Short Term Debt Issued	-	113.0	-	11.0	-	-	-	-	-	
Long-Term Debt Issued	2,182.0	-	747.0	1,497.0	-	-	-	-	-	
Total Debt Issued	2,182.0	113.0	747.0	1,508.0	-	-	-	-	-	
Short Term Debt Repaid	(304.0)	-	(113.0)	-	-	-	-	-	-	
Long-Term Debt Repaid	(503.0)	(500.0)	(534.0)	-	-	-	-	-	-	
Total Debt Repaid	(807.0)	(500.0)	(647.0)	-	(1,300.0)	(761.0)	(1,385.0)	(750.0)	-	
Repurchase of Common Stock	(725.0)	(850.0)	(800.0)	(1,007.0)	-	-	-	-	-	
Common Dividends Paid	(393.0)	(465.0)	(539.0)	(606.0)	589.3	673.1	741.4	829.1	942.3	
Other Financing Activities	(199.0)	(1,950.0)	(111.0)	(204.0)	-	-	-	-	-	
Cash from Financing	58.0	(3,652.0)	(1,350.0)	(309.0)	(710.7)	(87.9)	(643.6)	79.1	942.3	
Foreign Exchange Rate Adj.	(43.0)	(157.0)	(9.0)	(49.0)	-	-	-	-	-	
Net Change in Cash	1,676.0	(2,282.0)	85.0	1,041.0	928.5	1,620.3	1,237.0	2,195.2	3,341.2	
Cash and cash equivalents, beginning of period	1,780.0	3,456.0	1,174.0	1,259.0	2,300.0	3,228.5	4,848.8	6,085.8	8,281.0	
Net cash change	1,676.0	(2,282.0)	85.0	1,041.0	928.5	1,620.3	1,237.0	2,195.2	3,341.2	
Cash and cash equivalents, end of period	3,456.0	1,174.0	1,259.0	2,300.0	3,228.5	4,848.8	6,085.8	8,281.0	11,622.2	

Appendix E: Revenue Build

Overview	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
United States Operations	3,700	3,834	4,030	4,239	4,515	4,851	5,265	5,780	6,429
International Operations	10,598	9,851	10,179	10,022	10,315	10,694	11,178	11,792	12,572
China	2,877	2,573	2,444	1,919	1,882	1,852	1,828	1,810	1,797
Other	7,721	7,278	7,735	8,103	8,432	8,841	9,349	9,982	10,775
Total Revenue	14,298	13,685	14,209	14,261	14,829	15,545	16,443	17,572	19,000
YTD (%YoY)									
United States Operations	26%	28%	28%	30%	30%	31%	32%	33%	34%
International Operations	74%	72%	72%	70%	70%	69%	68%	67%	66%
China	20%	19%	17%	13%	13%	12%	11%	10%	9%
Other	54%	53%	54%	57%	57%	57%	57%	57%	57%
Segment Revenue									
New Equipment									
United States Operations	1,663	1,643	1,648	1,595	1,628	1,662	1,699	1,737	1,777
International Operations	4,765	4,221	4,164	3,772	3,805	3,838	3,872	3,907	3,942
China	1,293	1,103	1,000	722	731	740	749	758	768
Other	3,471	3,119	3,164	3,049	3,074	3,098	3,123	3,148	3,173
Total Segment Revenue	6,428	5,864	5,812	5,367	5,433	5,500	5,571	5,643	5,718
Consensus Δ					5,356	5,443	5,549	5,638	5,731
Consensus %					1.4%	1.1%	0.4%	0.1%	-0.2%
Service & Maintenance									
United States Operations	2,037	2,191	2,382	2,644	2,887	3,188	3,566	4,043	4,652
International Operations	5,833	5,630	6,015	6,250	6,510	6,856	7,306	7,886	8,630
China	1,584	1,470	1,444	1,197	1,152	1,113	1,080	1,052	1,028
Other	4,250	4,159	4,571	5,054	5,358	5,743	6,226	6,834	7,602
Total Segment Revenue	7,870	7,821	8,397	8,894	9,397	10,044	10,872	11,929	13,282
Consensus Δ					9,306	10,065	11,040	12,297	13,926
Consensus %					1.0%	-0.2%	-1.5%	-3.0%	-4.6%
Servicing portfolio count	2.04	2.13	2.21	2.30	2.42	2.59	2.79	3.05	3.39
growth%		4.0%	4.0%	4.0%	5.4%	6.6%	8.0%	9.4%	11.0%
Consensus Δ					2.43	2.61	2.86	3.18	3.58
Consensus %					-0.2%	-0.9%	-2.4%	-3.9%	-5.3%
Churn %		5.9%	6.3%	6.5%	6.2%	6.2%	6.2%	6.2%	6.2%
growth%			6.8%	3.2%	-4.1%	-0.3%	-0.1%	0.1%	0.2%
Consensus Δ					6.4%	6.4%	6.4%	6.4%	6.4%
Consensus %					0.2%	0.2%	0.2%	0.2%	0.2%
New adds %		10.2%	10.5%	11.5%	11.8%	12.9%	14.2%	15.6%	17.1%
growth%			2.9%	10.0%	2.0%	9.8%	9.8%	9.9%	10.0%
Consensus Δ					11.7%	13.1%	14.4%	16.1%	17.9%
ASP		3,678	3,797	3,867	3,875	3,884	3,894	3,905	3,917
growth%			3.2%	1.8%	0.2%	0.2%	0.3%	0.3%	0.3%
Total EBITDA									
Total EBT	1,961	1,888	2,031	2,039	2,039	2,354	2,691	3,123	3,640

Segment Breakdown									
Fiscal Year	2021	2022	2023	2024	FY2025A	FY2026A	FY2027A	FY2028A	FY2029A
Fiscal Year End Date	31/12/21	31/12/22	31/12/23	31/12/24	31/12/25	31/12/26	31/12/27	31/12/28	31/12/29

Americas

New Equipment Segment	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Total Segment Revenue	1,663	1,643	1,648	1,595	1,628	1,662	1,699	1,737	1,777
% YOY Change		(1.2)%	0.3%	(3.2)%	2.1%	2.1%	2.2%	2.2%	2.3%

New Equipment Order Volume, America					33	34	36	38	40
% Weightage in Total Segment Revenue					33.3%	33.3%	33.3%	33.3%	33.3%
% YOY Change					14.1%	17.5%	(11.0)%	4.0%	6.2%
Bull		15.0%			7.1%	7.3%	7.5%	7.7%	8.0%
Base			3.0%		6.2%	6.3%	6.5%	6.7%	6.9%
Bear		40.0%			3.7%	3.8%	3.9%	4.0%	4.2%

Service Segment	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
-----------------	---------	---------	---------	---------	---------	---------	---------	---------	---------

Segment revenue									
Active	2	2,037	2,191	2,382	2,644	2,887	3,188	3,566	4,043
of which recurring			2,062	2,232	2,472	2,707	2,986	3,335	3,776

Servicing portfolio count	millions	0.53	0.60	0.63	0.68	0.74	0.82	0.92	1.04
YoY change	%		12.6%	5.3%	9.0%	9.0%	10.2%	11.6%	13.1%

Churn %	%		5.9%	6.3%	6.5%	6.2%	6.4%	6.5%	6.6%
Bull	%		10.0%			5.6%	5.7%	5.8%	6.0%
Base	%			2.0%		6.2%	6.4%	6.5%	6.6%
Bear	%		15.0%			7.2%	7.3%	7.5%	7.6%
					9.0%	10.2%	11.6%	13.1%	14.7%
					439	528	644	795	998
New adds %	%		18.5%	11.6%	15.5%	15.2%	16.6%	18.0%	19.7%
Bull	%		10.0%			16.7%	18.2%	19.9%	21.6%
Base	%			9.0%		15.2%	16.6%	18.0%	19.7%
Bear	%		15.0%			12.9%	14.1%	15.3%	16.7%
ASP	\$	3,849	3,678	3,797	3,867	3,875	3,884	3,894	3,905
ASP YoY change	%		-4.4%	3.2%	1.8%	0.2%	0.2%	0.3%	0.3%
Bull	%		15.0%			0.2%	0.3%	0.3%	0.4%
Base	%			10.0%		0.2%	0.2%	0.3%	0.3%
Bear	%		15.0%			0.2%	0.2%	0.2%	0.3%

China										
New Equipment Segment		FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Total Segment Revenue		1,293	1,103	1,000	722	731	740	749	758	768
% YOY Change			(14.8)%	(9.3)%	(27.8)%	1.2%	1.2%	1.2%	1.3%	1.3%
New Equipment Order Volume, China						19	20	21	22	23
% Weightage in Total Segment Revenue						16.7%	16.7%	16.7%	16.7%	16.7%
% YOY Change			7.1%	14.6%	0.6%	5.9%	7.1%	7.3%	7.5%	7.9%
Bull			15.0%			8.1%	8.4%	8.6%	8.9%	9.1%
Base				3.0%		7.1%	7.3%	7.5%	7.7%	7.9%
Bear			40.0%			4.2%	4.4%	4.5%	4.6%	4.8%

Service Segment		FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Segment revenue										
Active	2	1,584	1,470	1,444	1,197	1,152	1,113	1,080	1,052	1,028
of which recurring			1,384	1,353	1,119	1,080	1,047	1,019	995	976
Servicing portfolio count	millions	0.41	0.40	0.38	0.31	0.30	0.29	0.28	0.27	0.26
YoY change	%		-2.8%	-4.9%	-18.6%	-4.0%	-3.6%	-3.2%	-2.9%	-2.5%
						-180	-189	-201	-216	-236
Churn %	%		5.9%	6.3%	6.5%	6.2%	5.9%	5.6%	5.3%	5.1%
Bull	%		10.0%			5.6%	5.3%	5.1%	4.8%	4.6%
Base	%			(5.0)%		6.2%	5.9%	5.6%	5.3%	5.1%
Bear	%		15.0%			7.2%	6.8%	6.5%	6.1%	5.8%
						-4.0%	-3.6%	-3.2%	-2.9%	-2.5%
						65	74	86	100	118
New adds %	%		3.1%	1.4%	-12.1%	-2.3%	-2.3%	-2.4%	-2.5%	-2.5%
Bull	%		10.0%			-2.5%	-2.6%	-2.6%	-2.7%	-2.8%
Base	%			3.0%		2.3%	2.3%	2.4%	2.5%	2.5%
Bear	%		15.0%			1.9%	2.0%	2.0%	2.1%	2.2%
ASP	\$	3,849	3,678	3,797	3,867	3,875	3,884	3,894	3,905	3,917
ASP YoY change	%		-4.4%	3.2%	1.8%	0.2%	0.2%	0.3%	0.3%	0.3%
Bull	%		15.0%			0.2%	0.3%	0.3%	0.3%	0.4%
Base	%			10.0%		0.2%	0.2%	0.3%	0.3%	0.3%
Bear	%		15.0%			0.2%	0.2%	0.2%	0.2%	0.3%

Others									
New Equipment Segment	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Total Segment Revenue	3,471	3,119	3,164	3,049	3,074	3,098	3,123	3,148	3,173
% YOY Change		(10.2)%	1.5%	(3.6)%	0.8%	0.8%	0.8%	0.8%	0.8%
New Equipment Order Volume, Others					13	13	13	14	14
% Weightage in Total Segment Revenue					50.0%	50.0%	50.0%	50.0%	50.0%
% YOY Change	19.7%	(0.9)%	(0.9)%	(20.2)%	1.6%	1.6%	1.6%	1.6%	1.6%
Bull		1.0%			2.6%	2.6%	2.6%	2.6%	2.6%
Base			0.0%		1.6%	1.6%	1.6%	1.6%	1.6%
Bear		2.0%			(0.4)%	(0.4)%	(0.4)%	(0.4)%	(0.4)%

Service Segment		FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Segment revenue										
Active	2	4,250	4,159	4,571	5,054	5,358	5,743	6,226	6,834	7,602
of which recurring			3,914	4,283	4,725	5,024	5,387	5,842	6,414	7,137
Servicing portfolio count	millions	1.10	1.13	1.20	1.31	1.38	1.48	1.60	1.75	1.94
YoY change	%		2.4%	6.5%	8.6%	5.8%	6.9%	8.1%	9.5%	10.9%
						-180	-198	-220	-248	-284
Churn %	%		5.9%	6.3%	6.5%	6.2%	6.2%	6.2%	6.1%	6.1%
Bull	%		10.0%			5.6%	5.6%	5.6%	5.5%	5.5%
Base	%			(0.5)%		6.2%	6.2%	6.2%	6.1%	6.1%
Bear	%		15.0%			7.2%	7.1%	7.1%	7.1%	7.0%
						5.8%	6.9%	8.1%	9.5%	10.9%
						348	419	510	631	791
New adds %	%		8.3%	12.8%	15.1%	12.0%	13.1%	14.3%	15.6%	17.0%
Bull	%		10.0%			13.2%	14.4%	15.7%	17.2%	18.7%
Base	%			9.0%		12.0%	13.1%	14.3%	15.6%	17.0%
Bear	%		15.0%			10.2%	11.2%	12.2%	13.3%	14.4%
ASP	\$	3,849	3,678	3,797	3,867	3,875	3,884	3,894	3,905	3,917
ASP YoY change	%		-4.4%	3.2%	1.8%	0.2%	0.2%	0.3%	0.3%	0.3%
Bull	%		15.0%			0.2%	0.3%	0.3%	0.3%	0.4%
Base	%			10.0%		0.2%	0.2%	0.3%	0.3%	0.3%
Bear	%		15.0%			0.2%	0.2%	0.2%	0.2%	0.3%

Appendix F: DCF and Sensitivity Analysis

DCF	units	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
EBIT		2,171	2,096	2,244	2,350	2,257	2,545	2,880	3,275	3,753
Tax Rate		27.6%	26.5%	27.2%	15.6%	15.6%	15.6%	15.6%	15.6%	15.6%
Less: Operating Taxes		(599)	(555)	(610)	(366)	(351)	(396)	(448)	(509)	(584)
NOPAT		1,572	1,541	1,634	1,984	1,906	2,149	2,432	2,766	3,169
Depreciation and Amortization		0	0	0	0	109	110	111	113	116
Gross Cash Flow		1,572	1,541	1,634	1,984	2,015	2,259	2,543	2,879	3,285
Changes in Non-Cash NWC		45	(64)	(102)	(25)	(219)	(161)	(200)	(248)	(311)
CAPEX		(140)	(147)	(156)	(166)	(140)	(147)	(156)	(166)	(180)
Unlevered FCF		1,477	1,330	1,376	1,793	1,655	1,951	2,188	2,465	2,794
EBITDA		2,171	2,096	2,244	2,350	2,366	2,655	2,991	3,389	3,869
UFCF						1,655	1,951	2,188	2,465	2,794
Terminal Value				Median TEV/EBITDA	Exit 14.06x					54,397
Discount Rate (WACC)						7.1%	7.1%	7.1%	7.1%	7.1%
Discount Period						1	2	3	4	5
Present Value of UFCF						1,546	1,702	1,783	1,876	40,651
Total Enterprise Value										47,558
Add: Cash and Cash Equivalents										2,300
Less: Net Debt										(6,442)
Less: Preferred Stock										
Less: Minority Interest										(120)
Total Equity Value										43,296
Ordinary Shares Outstanding										397
Price Per Share										\$ 109.19
Implied EV/EBITDA										12.29x
Upside										22.46%

\$	109.19	11.39x	12.65x	14.06x	15.47x	17.01x
6.50%	90.69	99.46	109.22	118.97	129.69	
7.00%	90.67	99.45	109.20	118.95	129.68	
7.50%	90.65	99.43	109.18	118.93	129.66	
7.75%	90.64	99.42	109.17	118.92	129.65	
8.00%	90.63	99.41	109.16	118.91	129.64	

Appendix G: PPE Schedule

PPE Summary	units	FY2021A	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue		14,298	13,685	14,209	14,261	14,829	15,545	16,443	17,572	19,000
PPE, net		1,300	1,168	1,143	1,123	1,155	1,192	1,236	1,289	1,353
Depreciation		(116)	(118)	(126)	(119)	(109)	(110)	(111)	(113)	(116)
Cost Allocation	Assumed Useful Life									
Land	50	43	39	40	38	40	43	46	50	53
Improvements and Buildings	15	596	538	543	516	547	581	617	655	697
Plant and Machinery	30	1,166	1,196	1,270	1,234	1,309	1,385	1,466	1,553	1,646
Asset under construction	10	125	97	106	105	111	119	127	135	144
ROU Assets	20	526	449	416	422	448	474	502	532	564
PPE, at cost		2,456	2,319	2,375	2,315	2,455	2,602	2,758	2,924	3,104
PPE Check		Ok	Ok	Ok	Ok					
Beginning DA						(1,192)	(1,301)	(1,410)	(1,522)	(1,635)
DA						(109)	(110)	(111)	(113)	(116)
Ending DA		(1,156)	(1,151)	(1,232)	(1,192)	(1,301)	(1,410)	(1,522)	(1,635)	(1,751)
Capex		(156)	(115)	(138)	(126)	(140)	(147)	(156)	(166)	(180)
% revenue		-1.09%	-0.84%	-0.97%	-0.88%	-0.9%	-0.9%	-0.9%	-0.9%	-0.9%
Land						(2)	(3)	(3)	(3)	(4)
Improvements and Buildings						(31)	(34)	(36)	(38)	(41)
Plant and Machinery						(75)	(77)	(81)	(86)	(94)
Asset under construction						(6)	(7)	(8)	(8)	(9)
ROU Assets						(26)	(26)	(28)	(30)	(32)
Total Net Additions						(140)	(147)	(156)	(166)	(180)
%										
Land		2%	2%	2%	2%	2%	2%	2%	2%	2%
Improvements and Buildings		24%	23%	23%	22%	22%	23%	23%	23%	23%
Plant and Machinery		47%	52%	53%	53%	53%	52%	52%	52%	52%
Asset under construction		5%	4%	4%	5%	5%	5%	5%	5%	5%
ROU Assets		21%	19%	18%	18%	18%	18%	18%	18%	18%
Sum		100%	100%	100%	100%					
Land										
Useful Life										50
Opening Balance						38.0	41.1	44.9	48.9	53.1
Additions						2.3	2.9	3.1	3.3	3.6
Depreciation						0.8	0.8	0.9	0.9	1.0
Net Balance						41.1	44.9	48.9	53.1	57.7
FY2024A	38	50				0.8	0.7	0.7	0.7	0.7
FY2025E	2	50				0.05	0.05	0.05	0.05	0.05
FY2026E	3	50					0.06	0.06	0.06	0.06
FY2027E	3	50						0.06	0.06	0.06
FY2028E	3	50							0.07	0.07
FY2029E	4	50								0.07
Depreciation						0.79	0.83	0.88	0.93	0.99

Improvements and Buildings

Useful Life			15																			
Opening Balance																	516.0	581.5	649.5	719.5	792.3	
Additions																	31.3	33.8	35.8	38.3	41.4	
Depreciation																	34.2	34.2	34.2	34.5	35.0	
Net Balance																	581.5	649.5	719.5	792.3	868.6	
			Final Year																			
	FY2024A	516	15	FY2039													34	32.1	29.8	27.5	25.2	22.9
	FY2025E	31	15	FY2040														2.1	2.1	2.1	2.1	2.1
	FY2026E	34	15	FY2041															2.3	2.3	2.3	2.3
	FY2027E	36	15	FY2042																2.4	2.4	2.4
	FY2028E	38	15	FY2043																	2.6	2.6
	FY2029E	41	15	FY2044																		2.8
															516.0	581.5	649.5	719.5	792.3	868.6		
															31.3	33.8	35.8	38.3	41.4			
															34.2	34.2	34.2	34.5	35.0			
															581.5	649.5	719.5	792.3	868.6			
															34							
															32.1	29.8	27.5	25.2			22.9	
															2.1	2.1	2.1	2.1			2.1	
																2.3	2.3	2.3			2.3	
																	2.4	2.4			2.4	
																		2.6			2.6	
																					2.8	
Depreciation															34.2	34.2	34.2	34.5	35.0			

Plant and Machinery

Useful Life			30																			
Opening Balance																		1,234.0	1,351.1	1,471.0	1,596.7	1,729.5
Additions																		74.8	76.5	80.9	86.5	93.5
Depreciation																		42.3	43.4	44.8	46.3	48.0
Net Balance																		1,351.1	1,471.0	1,596.7	1,729.5	1,871.0
FY2024A					1,234	30	Final Year					FY2054	41	39.8	38.4	37.0	35.6	34.3				
FY2025E					75	30						FY2055		2.5	2.5	2.5	2.5	2.5				
FY2026E					77	30						FY2056			2.6	2.6	2.6	2.6				
FY2027E					81	30						FY2057				2.7	2.7	2.7				
FY2028E					86	30						FY2058					2.9	2.9				
FY2029E					94	30						FY2059						3.1				
Depreciation																		42.3	43.4	44.8	46.3	48.0

Asset under construction

Useful Life			10																			
Opening Balance																		105.0	121.5	138.6	155.9	173.5
Additions																		6.4	7.4	7.8	8.3	9.0
Depreciation																		10.1	9.8	9.5	9.3	9.1
Net Balance																		121.5	138.6	155.9	173.5	191.6
Final Year																						
FY2024A	105	10		FY2034	10.5													9.5	8.4	7.4	6.3	5.3
FY2025E	6	10		FY2035														0.6	0.6	0.6	0.6	0.6
FY2026E	7	10		FY2036															0.7	0.7	0.7	0.7
FY2027E	8	10		FY2037																0.8	0.8	0.8
FY2028E	8	10		FY2038																	0.8	0.8
FY2029E	9	10		FY2039																		0.9
Depreciation																		10.1	9.8	9.5	9.3	9.1

ROU Assets

Useful Life			20																			
Opening Balance																		422.0	468.9	517.0	566.9	619.3
Additions																		25.6	26.5	28.0	29.9	32.4
Depreciation																		21.3	21.6	21.9	22.4	22.9
Net Balance																		468.9	517.0	566.9	619.3	674.6

Appendix J: Trading Comps

[illegible]

Base Case (75th Percentile)		Build Case (High)		Bear Case (Median)	
PV + EBITDA	2,365,644,155	PV + EBITDA	2,365,644,155	PV + EBITDA	2,365,644,155
EBITDA	114.4	EBITDA	114.4	EBITDA	114.4
Total Enterprise Value	33,976.7	Total Enterprise Value	33,976.7	Total Enterprise Value	33,976.7
(+) Total Debt	7,024.0	(+) Total Debt	7,024.0	(+) Total Debt	7,024.0
(-) Cash	(2,300.0)	(-) Cash	(2,300.0)	(-) Cash	(2,300.0)
(-) Minority Interest	120.0	(-) Minority Interest	120.0	(-) Minority Interest	120.0
Total Equity Value	38,820.7	Total Equity Value	41,738.7	Total Equity Value	38,820.7
Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397
Price Per Share	97.90	Price Per Share	106.26	Price Per Share	98.04
Current Price	94.83	Current Price	84.83	Current Price	84.83
Upside/Downside (%)	3.2%	Upside/Downside (%)	11.9%	Upside/Downside (%)	(5.17%)

Bull Case (75th Percentile)		Bull Case (High)		Bear Case (Median)	
PV + EBIT	2,257.0	PV + EBIT	2,257.0	PV + EBIT	2,257.0
EVEBIT	19.2	EVEBIT	16.0	EVEBIT	16.0
Total Enterprise Value	43,310.8	Total Enterprise Value	44,528.4	Total Enterprise Value	36,097.7
(+) Total Debt	7,024.0	(+) Total Debt	7,024.0	(+) Total Debt	7,024.0
(+) Cash	(2,300.0)	(+) Cash	(2,300.0)	(+) Cash	(2,300.0)
(+) Minority Interest	120.0	(+) Minority Interest	120.0	(+) Minority Interest	120.0
Total Equity Value	48,154.8	Total Equity Value	49,372.4	Total Equity Value	40,942.7
Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397
Price Per Share	121.44	Price Per Share	124.51	Price Per Share	103.25
Current Price	94.83	Current Price	84.83	Current Price	84.83
Upside/Downside (%)	28.1%	Upside/Downside (%)	31.3%	Upside/Downside (%)	8.5%

Base Case (75th Percentile)		Build Case (High)		Bear Case (Median)	
FY +1 EPS	4.0	FY +1 EPS	4.0	FY +1 EPS	4.0
P/E	27.2	P/E	27.1	P/E	24.4
Price Per Share	109.8	Price Per Share	109.2	Price Per Share	98.5
Current Price	94.93	Current Price	94.93	Current Price	94.93
Upside/Downside (%)	15.8%	Upside/Downside (%)	15.2%	Upside/Downside (%)	3.6%

Base Case (75th Percentile)		Bull Case (High)		Bear Case (Median)	
FY +1 Revenue	14,829.3	FY +1 Revenue	14,829.3	FY +1 Revenue	14,829.3
EV/Revenue	1.9	EV/Revenue	2.0	EV/Revenue	1.8
Total Enterprise Value	28,737.8	Total Enterprise Value	29,167.7	Total Enterprise Value	26,834.6
(+) Total Debt	7,024.0	(+) Total Debt	7,024.0	(+) Total Debt	7,024.0
(-) Cash	(2,350.0)	(-) Cash	(2,350.0)	(-) Cash	(2,350.0)
(-) Minority Interest	120.0	(-) Minority Interest	120.0	(-) Minority Interest	120.0
Total Equity Value	33,581.8	Total Equity Value	34,012.7	Total Equity Value	31,779.6
Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397
Price Per Share	84.89	Price Per Share	85.74	Price Per Share	79.14
Current Price	94.83	Current Price	94.83	Current Price	84.83
Upside/Downside (%)	(10.7)%	Upside/Downside (%)	0.0%	Upside/Downside (%)	(10.6)%

Basis Case (75th Percentile)		Bull Case (High)		Bear Case (Median)	
FY +1 Cash EBITDA	2,629.0	FY +1 Cash EBITDA	2,629.0	FY +1 Cash EBITDA	2,629.0
EV/Cash EBITDA	17.1	EV/Cash EBITDA	17.1	EV/Cash EBITDA	13.9
Total Enterprise Value	45,085.1	Total Enterprise Value	46,446.2	Total Enterprise Value	38,368.9
(+) Total Debt	7,024.0	(+) Total Debt	7,024.0	(+) Total Debt	7,024.0
(-) Cash	(2,300.0)	(-) Cash	(2,300.0)	(-) Cash	(2,300.0)
(-) Minority Interest	120.0	(-) Minority Interest	120.0	(-) Minority Interest	120.0
Total Equity Value	49,929.1	Total Equity Value	51,290.2	Total Equity Value	41,411.1
Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397	Ordinary Shares Outstanding	397
Price Per Share	125.92	Price Per Share	129.35	Price Per Share	104.44
Current Price	94.83	Current Price	94.83	Current Price	94.83
Upside/Downside (%)	32.8%	Upside/Downside (%)	35.8%	Upside/Downside (%)	10.1%

Blended Target Price Methodology	Implied Share	Weights	Weighted Price
S-Year DCF	109.19	2.0%	43.68
PY+1 TEVEBITDA (75th Percentile)	97.90	1.0%	11.78
PY+1 TEVEBIT (75th Percentile)	121.44	1.0%	14.87
PY+1 P/E (75th Percentile)	108.78	1.0%	13.17
PY+1 EV/Revenue (75th Percentile)	84.69	1.0%	10.16
PY0 EV/Cash EBITDA (75th Percentile)	125.92	1.0%	15.11
Weighted Average Implied Share Price			108.44
Current Price			89.16
Upside/Downside			21.8%

Appendix K: Beta (Bottoms-Up + Regression)

Tier 1 Beta Comps Set (Weightage:

87.5%							
Schindler Holding AG (SWX:SCHN)	0.66	279.76	107.67	30,360.60	(3,413.06)	20.4%	0.72x
KONE Oyj (HSE:KNEBV)	0.61	51.25	517.01	26,547.98	(987.06)	23.4%	0.63x
Mitsubishi Electric Corporation (TSE:6503)	0.92	16.12	2,099.26	33,482.79	(2,451.15)	18.8%	0.98x
Hyundai Elevator Co., Ltd (KOSX:A017800)	0.68	35.22	37.36	1,277.13	250.02	22.8%	0.59x
Fujitec Co., Ltd. (TSE:6406)	0.32	38.96	78.05	3,043.65	(493.86)	23.1%	0.37x
Hitachi, Ltd. (TSE:6501)	1.16	26.95	4,654.01	123,526.26	947.90	24.1%	1.15x
Otis Worldwide (NYSE:OTS)	0.94	\$ 89.16	404.40	37,601.86	6,442.00	15.0%	0.82x

T1 Average Unlevered Beta

0.75x

Tier 2 Beta Comps Set (Weightage:

13.5%							
IFE Elevators Co., Ltd. (SZSE:002774)	0.40	1.01	336.69	338.60	(137.83)	11.2%	0.63x
Shanghai Mechanical & Electrical Industry Co., Ltd. (SHSE:600835)	0.61	2.53	1,022.74	2,290.70	(1,812.17)	8.8%	2.19x
Canny Elevator Co., Ltd. (SZSE:002367)	0.54	0.95	791.11	749.27	(345.80)	10.6%	0.92x
Otis Worldwide (NYSE:OTS)	0.94	\$ 89.16	404.40	37,601.86	6,442.00	15.0%	0.82x

Industry Average Delevered Beta

1.14x

Weighted Ratios

Tier 1	87.5%
Tier 2	12.5%

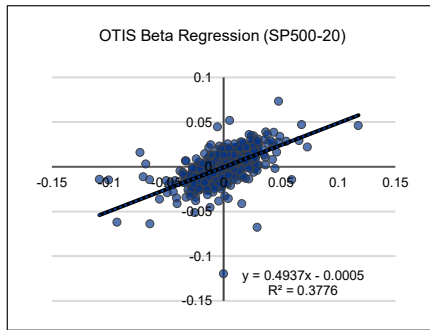
Industry Unlevered Beta	0.80x
Debt/Equity Ratio	17.1%
Tax Rate	15.0%
OTIS Re-levered Beta	0.92x

Regression Beta	% chg (simple)	% chg (ln)
-----------------	----------------	------------

Beta (5Y)	Slope:	0.76484
Beta (3Y)	Slope:	0.72571
Beta (1Y)	Slope:	0.59356

Std Dev	0.01603	0.01605
Variance	0.00016	0.00017
Covariance	0.00013	0.00013
Beta	0.77357	0.76484

Adj Beta (5Y)	0.82x
---------------	-------



Appendix L: Monte Carlo Analysis

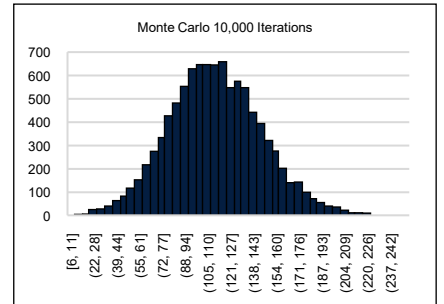
Monte Carlo Simulation

	Mean	Std Dev	Reference
WACC	6.6%	0.00663	7.1%
Exit Multiple	14.1x	1.40592	10.8x

Implied share price	\$ 86.43
---------------------	----------

Base (Avg)	\$ 113.49
Bear (Q1)	\$ 90.73
Bull (Q3)	\$ 135.26

Std Dev	\$ 33.67
DCF target	\$ 137.00
Prob < \$90	24.38%



Appendix I: WACC

Cost of Equity

Risk Free Rate: Average 10Y U.S. Treasury as of 8 Feb '25	3.68%	US 5Year Treasury Rate as of 21 Sep 2025
Adj. Beta	0.92	Comps Beta + 5Y regression weighted
Equity Risk Premium: Damodaran's ERP Estimates, US	4.33%	US
Country Risk Premium: Damodaran's ERP Estimates, China	0.13%	To reflect geographical/political risk associated to China given major revenue base
Cost of Equity	7.78%	

Cost of Debt	units	FY21A	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
EBIT		2,171	2,096	2,244	2,350	2,257	2,545	2,880	3,275	3,753
Interest Expense		(136)	(143)	(150)	0	(228)	(201)	(199)	(162)	(123)
Interest Coverage Ratio		15.96	14.66	14.96	N/A	9.89	12.64	14.48	20.22	30.60
Risk-Free Rate		3.68%								
Default Spread (S&P Credit Rating is BBB; Source is Damodaran)		1.20%								
Tax Rate		16%								
Cost of Debt		4.12%								

Cost of Capital (WACC)

		Weightage	
Equity	35,354	68.8%	
Debt	16,044	31.2%	
Asset	11,316	58.6%	0.45
		41.4%	
WACC (D/E)	6.6%		
WACC (D/A)	5.6%		